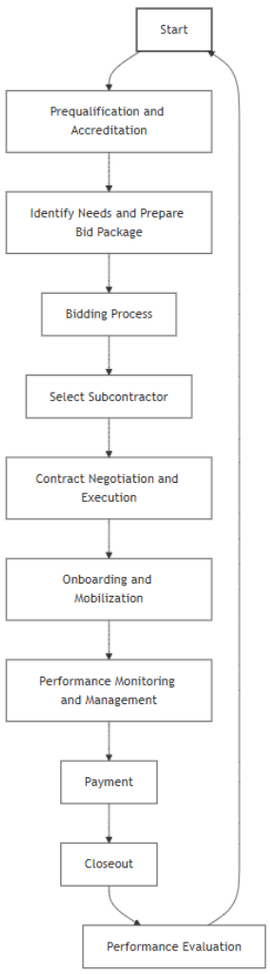
	Document No.	Section No.
	Effective Date:	Revision No.
	PROCEDURAL MANUAL	
	SUBCONTRACTOR MANAGEMENT	

`OBJECTIVE	This procedure outlines the process for managing subcontractors engaged in BHBI projects. It aims to ensure that subcontractors are properly selected, contracted, managed, and evaluated to meet BHBI's standards for quality, safety, and performance.
SCOPE	This procedure applies to all subcontractors performing work on BHBI projects.

Responsibilities

- **Procurement:** Responsible for overseeing the subcontractor prequalification, selection, and contracting process in coordination with the Project Engineer. Also responsible for managing the contractual aspects of the subcontractor's engagement, including payment.
- **Project Engineer:** Responsible for making requisitions for subcontractor services, defining the scope of work, providing technical oversight, approving subcontractor work, and monitoring subcontractor performance on their projects. Also takes on many responsibilities typically associated with construction management.
- **Site Engineer:** Responsible for the day-to-day supervision of subcontractors on-site, ensuring compliance with safety regulations, quality standards, and project schedules. Also responsible for coordinating logistics and communication with subcontractors on site.
- **Principal Designer:** Responsible for approving technical aspects related to the design during the design phase.
- **Safety Officer:** Responsible for monitoring subcontractor safety performance and ensuring compliance with BHBI's safety procedures.
- **QA/QC Personnel:** Responsible for monitoring the quality of subcontractor work and ensuring compliance with project specifications.
- **Office Engineer:** Responsible for maintaining subcontractor documentation and assisting in the tracking of subcontractor performance data.

Flowchart



Procedure

1. Subcontractor Prequalification and Accreditation:

- **Accreditation Procedure:** All potential subcontractors must be prequalified and accredited according to BHBI's *Accreditation of Supplier and Contractor Procedure* before being considered for work on projects.
  - **Deliverables:** Accredited Subcontractor List

2. Subcontractor Selection:

- **Identify Needs:** The Project Engineer, in coordination with the Site Engineer, identifies the need for subcontractor services based on the project scope and schedule.
- **Prepare Bid Package:** The Project Engineer, with the assistance of Procurement, prepares a bid package for the specific scope of work, including drawings, specifications, and contract terms. The bid package should clearly define the scope of work, schedule, quality requirements, safety requirements, and any other relevant project-specific requirements.
  - **Deliverables:** Subcontractor Bid Package

- **Bidding Process:** Procurement follows BHBI's *Bidding of Contractor Procedure* to solicit and evaluate bids from accredited subcontractors.
  - **Deliverables:** Subcontractor Bid Evaluation Report
- **Selection:** The Project Engineer, in consultation with Procurement, selects the most qualified subcontractor based on the bid evaluation, considering price, experience, proposed methodology, safety record, and past performance.

3. Subcontractor Contracting:

- **Contract Negotiation:** Procurement negotiates the subcontract agreement with the selected subcontractor, ensuring that all terms and conditions are clearly defined and agreed upon.
- **Contract Execution:** Procurement prepares and executes the formal subcontract agreement with the selected subcontractor. The subcontract agreement should include, but not be limited to:
  - Scope of Work
  - Contract Drawings and Specifications
  - Schedule
  - Price and Payment Terms
  - Insurance Requirements
  - Safety Requirements
  - Quality Requirements
  - Dispute Resolution Procedures
  - **Deliverables:** Signed Subcontract Agreement

4. Subcontractor Onboarding and Mobilization:

- **Kick-Off Meeting:** The Project Engineer and Site Engineer conduct a kick-off meeting with each subcontractor to review project requirements, schedules, communication protocols, safety procedures, and quality expectations.
  - **Deliverables:** Kick-Off Meeting Minutes
- **Site Induction:** The Site Engineer ensures that all subcontractor personnel complete site-specific safety inductions before commencing work, in accordance with the *Site Safety Procedure*.
  - **Deliverables:** Subcontractor Induction Records
- **Documentation:** The subcontractor submits all required documentation to the Office Engineer as outlined in the contract (e.g., insurance certificates, safety certifications, permits).
- **Mobilization:** The subcontractor mobilizes resources to the site according to the agreed schedule.

5. Subcontractor Performance Management:

- **Monitoring and Supervision:** The Site Engineer monitors the subcontractor's progress, quality of work, and compliance with safety regulations.
- **Progress Meetings:** The Project Engineer holds regular progress meetings with subcontractors to review progress, address any issues, and coordinate upcoming activities.
  - **Deliverables:** Progress Meeting Minutes
- **Safety Inspections:** The Safety Officer conducts regular safety inspections to ensure that subcontractors are complying with BHBI's *Site Safety Procedure* and all applicable safety regulations.
  - **Deliverables:** Safety Inspection Reports
- **Quality Inspections:** QA/QC Personnel conduct inspections to ensure that the subcontractor's work meets the specified quality standards.
  - **Deliverables:** Quality Inspection Reports
- **Performance Issues:** The Project Engineer addresses any performance issues with subcontractors promptly and documents any corrective actions taken.
- **Variation Orders:** Any changes to the subcontractor's scope of work are managed according to BHBI's *Variation Order Procedure*.

6. Payment:

- **Invoice Submission:** Subcontractors submit invoices for completed work according to the contract terms.
- **Invoice Verification:** Procurement verifies invoices against the subcontract agreement and approved work progress.
- **Approval:** The Project Engineer approves invoices for payment, confirming that the work has been completed satisfactorily.
- **Payment Processing:** Procurement processes payments to subcontractors according to the agreed payment terms, using the QNE system to record transactions. (Refer to the *Procurement Procedure*).

7. Subcontractor Closeout:

- **Final Inspection:** The Project Engineer and QA/QC Personnel conduct a final inspection of the subcontractor's work upon completion.
  - **Deliverables:** Final Inspection Report
- **Defect Rectification:** The subcontractor rectifies any defects identified during the final inspection.
- **Demobilization:** The subcontractor demobilizes resources from the site upon completion and acceptance of their work.
- **Warranty Management:** The Project Engineer ensures that all subcontractor warranties are properly documented and communicated to the client.
  - **Deliverables:** Subcontractor Warranty Documentation

8. Performance Evaluation:

- **Evaluation:** Procurement, in consultation with the Project Engineer and Site Engineer, conducts a formal performance evaluation of each subcontractor upon completion of their work, according to BHBI's *Evaluation of Supplier and Contractor Procedure*.
  - **Deliverables:** Subcontractor Performance Evaluation Report

Continuous Improvement:

- Regularly review and update this procedure to incorporate lessons learned and improve the effectiveness of subcontractor management processes.

Records Generated (Deliverables)

- Accredited Subcontractor List
- Subcontractor Bid Package
- Subcontractor Bid Evaluation Report
- Signed Subcontract Agreements
- Kick-Off Meeting Minutes
- Subcontractor Induction Records
- Progress Meeting Minutes
- Safety Inspection Reports
- Quality Inspection Reports
- Final Inspection Report
- Subcontractor Warranty Documentation
- Subcontractor Performance Evaluation Report

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